

Small Business - Uganda Revenue Authority

 ura.go.ug/en/small-business/

30 August 2023

This is a business whose total sales does not exceed Ugx 150,000,000 in a given year.

However, for tax purposes, URA considers businesses with sales in excess of Ugx 10,000,000 but not exceeding Ugx 150,000,000. This business should at least make sales of Ugx 34,700 in a day.

URA introduced computation of income tax on small businesses and named it 'Presumptive tax'

This tax is paid by the owners of small businesses.

No. professionals for example persons in dental, medical, engineers, accountants, and architectural practice among others do not pay this tax.

Below are the rates applied in taxing small businesses.

TOTAL SALES IN A YEAR	TAX PAYABLE	
	With Records	Without Records
Total sales that do not exceed Ugx 10 million	Nil	Nil
Total sales of more than Ugx 10 million but do not exceed Ugx 30 million	0.4% of annual total sales in excess of 10 million	Ugx 80,000
Total sales of more than Ugx 30 million but do not exceed Ugx 50 million	Ugx 80,000 plus 0.5% of the total sales in excess of Ugx 30 million	Ugx 200,000

Total sales more than Ugx 50 million but do not exceed Ugx 80 million	Ugx 180,000 plus 0.6% of the annual total sales in excess of 50 million	Ugx 400,000
Total sales more than Ugx 80 million but do not exceed Ugx 150 million	Ugx 360,000 plus 0.7% of the annual total sales in excess of 80 million	Ugx 900,000

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- Total sales in that year
 - Availability of business records

Please note

1. The tax paid by the presumptive taxpayer shall be a final tax on the business income of a taxpayer
2. No deductions shall be allowed for expenditures or losses incurred in the production of business income and;
3. No tax credits are provided for in the presumptive tax computation. i.e, Withholding tax (WHT)
4. Taxpayers without business records shall pay a fixed amount while those with business records shall pay tax as a percentage of the total annual sales

You can pay this tax by following the steps below:

1. Go to URA website; ura.go.ug;
 2. Under e-services, select payment registration.
 3. Select tax type i.e. income tax – small businesses.
1. Enter your TIN
 2. Input the amount applicable to you basing on the brackets above
 3. Select the mode of payment (bank, mobile money, EFT etc) and register the payment.

[Click here](#) to register a payment

*Ensure that you pay the assessed amount. You can contact any of our offices for assistance on toll free numbers; **0800117000/0800217000** or WhatsApp: **0772 140000***